FINANCIAL PLANNING

A well-prepared financial plan can not only help you achieve your life's financial goals, it can also pave the path for financial independence. Avoid making these financial planning mistakes to realise your financial goals

1. FAILING TO MAKE A PLAN

People often spend more time planning a party or vacation than their personal finances. A personal finance plan can act like a guide map that can help you state what you wish to achieve financially.

THE SOLUTION: Instead of having vague financial goals, set specific and time-bound ones with a value attached to each. This way, you will know the many financial goals you have. Work on each one of them and realise them in a timely manner.

2. NOT HAVING AN EMERGENCY FUND

It is normal to assume that bad things won't happen to you. Don't let such an assumption leave you in a financial lurch because you didn't anticipate it.

THE SOLUTION: One of the first rules of financial planning is to create an emergency fund that can take care of three-six months of your regular household expenses were you to lose your job or be without an income in the short run. This buffer can be large or small, depending on your particular stage in life, lifestyle and financial commitments.

3. AVOIDING DISCUSSIONS

Money matters pertaining to a family should be jointly discussed between spouses. Not doing so leaves scope for conflict with one's spouse regarding financial decisions for the family.

THE SOLUTION: Be communicative about money with your spouse. This way you will know how each of you treats money and reacts

INSURANCE

Life insurance-related mistakes hurt the ones you love the most, while health insurance mistakes can impact you and your family. These mistakes are best avoided

1. INADEQUATE COVER OR UNDER INSURANCE

At the time of buying life insurance, think about who will pay for your family's food and shelter for the next many years in your absence. Who will square off your existing debts or provide for essential family financial goals—child's education or retirement of the spouse? Will there be enough money after you to maintain their lifestyle?

When it comes to health insurance, medical risks are on the rise and so are related expenses, so any compromise on the cover means you need to compensate from your own pocket. Insuring your vehicle or home or gadgets needs to be done with similar alacrity.

THE SOLUTION: Go for a thorough analysis of your life insurance needs and factor in inflation when considering current expenses. Similarly, with health insurance, consider the state of your health, including family history and prevailing medical costs, for some of the serious health risks and opt for a cover that meets all criteria.

2. CHOOSING THE CHEAPEST POLICY

Everyone wants to get a good deal on insurance, but picking the policy with the lowest premium might cost you (or your family) a lot more when the policy benefits are exercised if it is not the right policy for your needs.

THE SOLUTION: Do not compare policies solely on premium cost; there are several other factors such as claims history, track record of the company, the exclusions, terms and conditions, besides the cover under the policy.

3. POLICY MISMATCH

A quick list: You have a life insurance policy in which the cover ends when you turn 50, or the policy offers savings and investments instead of life cover. Your health insurance doesn't cover pre-existing diseases or does not provide for insurance once you reach the senior citizen age group. Your car insurance doesn't cover for damage due to rain or the gadget is not insured for theft.



THE SOLUTION: List out your insurance needs and approach a knowledgeable professional to see if you have the right type of insurance. Do not dump existing insurance before getting a detailed explanation on disadvantages. There are many new types of policies that didn't exist earlier. It may be a good move to switch to these instead of continuing with your old plans that do not serve your purpose any more.

4. FAILING TO REVIEW YOUR INSURANCE

Many policies are meant to serve a